

CAMBRIDGE IGCSE | ECONOMICS 0455

IGCSE ECONOMICS

THE COMPLETE YEAR

FREE SAMPLE | WEEK 1 OF 30

EVERY
ANSWER
INCLUDED

WHAT IS INSIDE

- **Week 1, complete**
both taught lessons with tasks and full answers
- **The practice hour**
question bank extract with answers
- **Retrieval starter, week 1**
five questions with answers
- **The year map**
all six units and every assessment point
- **From the full product**
every week of the year is built like this one

FULLY
EDITABLE

TRY ONE WEEK FREE | THE FULL YEAR IS BUILT LIKE THIS

Written for Cambridge IGCSE Economics 0455. Currency is shown in dollars, as in 0455 question papers. Check your own entry code.

HOW THIS YEAR WORKS

READ THIS FIRST

This is a full teaching year for Cambridge IGCSE Economics 0455: 30 weeks, planned at three timetabled hours a week. Every week has two taught lessons, each written out in full with an objective, minute by minute timings, teaching points, a task with data and full answers, and a third hour that runs on the unit question bank, the weekly retrieval quiz and, at the end of each unit, the unit assessment. Everything the third hour needs is inside this pack, so the year holds together without any other resource. The Word version makes every page editable, and the PowerPoint carries all 30 retrieval quizzes with answers, ready to project, together with the eleven diagrams.

THE WEEKLY RHYTHM

Hour	What happens	Where the material is
Lesson 1	Taught lesson. Review of last week's quiz, then new content with a worked task and full answers.	The lesson page for that week in this pack.
Lesson 2	Taught lesson. Same shape as Lesson 1, second topic of the week.	The second lesson page for that week.
Hour 3	Practice hour. The week's retrieval quiz on the two lessons just taught, then the unit question bank in timed conditions, marked from the answers. In assessment weeks this hour is the unit test.	The weekly quiz in the PowerPoint, the question bank inside each unit, and the unit assessment.

WHAT THIS IS, AND WHAT IT IS NOT

HONEST SCOPE

What it covers	All six sections of the 0455 subject content, in the order Cambridge lists them, across 30 teaching weeks. Every lesson page carries the syllabus reference it teaches, down to the numbered subsection.
How long it runs	30 weeks at three timetabled hours a week, which is 90 planned hours: 60 written lessons plus 30 practice hours. Six of those practice hours are the unit assessments.
Who it is built for	A class taking 0455 in a single teaching year, and the first year of a two year course. Centres teaching over two years use this as the taught core and spend the second year on depth, past paper technique and revision, which this pack does not attempt to replace.
What it does not contain	No past papers and no Cambridge mark schemes: those are Cambridge copyright and are available to centres from the School Support Hub, so reprinting them here would add cost and no value. No textbook chapters, and no video or online component. Diagrams are described precisely and drawn in the PowerPoint, but this is a teaching year rather than a diagram atlas.
Where the figures come from	Every economy, market and firm in the tasks is written for teaching, in the way exam board stimulus material is. That is deliberate: made for purpose data lets every question have a checkable answer and stops the pack going stale when a real statistic is revised. Every figure in this pack is internally consistent and every stated answer was recomputed from its own case data before publication.
How the marking works	The unit assessments use the 2, 4, 6 and 8 mark tariffs that 0455 structured questions are built from, and the levels ladder printed in the section named The levels ladder used in every mark scheme. That ladder is this pack's own, written against the three assessment objectives. It is not a reproduction of a Cambridge mark scheme grid, and it is not a prediction of one.
One thing to check yourself	Cambridge revises assessment arrangements between syllabus cycles, and some regions enter candidates under separate codes. The paper structure below is written for 0455 as it stands. Check the syllabus for your own exam series and entry code before you plan assessment dates around it.

THE YEAR AT A GLANCE

ALL SIX UNITS

Unit	Weeks	Syllabus sections covered	Assessed by
1. The basic economic problem	1 to 4	1.1 to 1.4: scarcity and choice, the factors of production, opportunity cost, the production possibility curve	Unit 1 assessment, 40 marks, week 4
2. The allocation of resources	5 to 11	2.1 to 2.11: micro and macro, markets, demand, supply, price determination, price changes, price elasticity of demand and of supply, the market system, market failure, the mixed system	Unit 2 assessment, 50 marks, week 11
3. Microeconomic decision makers	12 to 17	3.1 to 3.8: money and banking, households, workers, trade unions, firms, production, costs and revenue, market structure	Unit 3 assessment, 50 marks, week 17
4. Government and the macroeconomy	18 to 24	4.1 to 4.8: the role of government, macroeconomic aims, fiscal policy, monetary policy, supply side policy, economic growth, employment and unemployment, inflation and deflation	Unit 4 assessment, 50 marks, week 24
5. Economic development	25 to 27	5.1 to 5.4: living standards, poverty, population, differences in development between countries	Unit 5 assessment, 40 marks, week 27
6. International trade and globalisation	28 to 30	6.1 to 6.4: international specialisation, globalisation and protection, foreign exchange rates, the current account	Unit 6 assessment, 40 marks, week 30

THE ASSESSMENT CALENDAR

Week	Milestone
1	Course opens. The first retrieval starter sets the routine that carries the other 29.
4	Unit 1 assessment, 40 marks. The first data point for every student, and the year's baseline. The production possibility curve is examined here and returns in Unit 4 as economic growth.
11	Unit 2 assessment, 50 marks. The heaviest unit of the year and the one the rest depends on: every diagram taught after this week assumes the demand and supply diagram is secure.
17	Unit 3 assessment, 50 marks. Half year review against the tracker: three data points each.
24	Unit 4 assessment, 50 marks. Policy is tested here, and policy is where evaluation marks are won on Paper 2.
27	Unit 5 assessment, 40 marks.
30	Unit 6 assessment, 40 marks, and the year closes with the full tracker picture: 270 assessed marks across six units.

THE TRACKER

One row per student, one column per unit assessment. Record percentages, not raw marks, because the six papers carry different totals. A student whose percentage falls twice in a row gets a conversation before the next unit opens, and the question bank of the weaker unit is the repair material: it is already written, already answered, and already sitting in the pack. Record the Section C mark separately from the rest. A class can look steady on total marks while the 8 mark judgements quietly go nowhere, and that is the number that decides grades on Paper 2.

UNIT 1: THE BASIC ECONOMIC PROBLEM

WEEKS 1 TO 4

Syllabus 1.1 to 1.4

The unit that decides whether the rest of the year makes sense. Everything after it is an application of one idea: resources are finite, wants are not, so every use of a resource is chosen at the expense of another. Students arrive able to say that sentence and unable to use it, so all eight lessons push the same move, naming what was given up rather than what was gained. The production possibility curve arrives in week 4 as the picture of that idea, and it returns in Unit 4 as the picture of economic growth, so time spent drawing it accurately now is time bought back later.

Runs on: Two taught lessons a week, the Unit 1 question bank in the practice hour, starters 1 to 4, and the Unit 1 assessment in week 4.

W1L1 · SCARCITY, WANTS AND CHOICE

SYLLABUS 1.1.1

Objective. Explain why scarcity forces choice, and identify what is given up in a stated decision.

The hour: review and recap (10 minutes), teaching (20), the task below worked and marked (25), objective checked against evidence (5).

- Start with the resource, not the definition. Any resource in the room, then the question: what else could it have been used for? The economic problem is that question having an answer every time.
- Wants are unlimited in the sense that satisfying one reveals the next. This is not a claim about greed, it is a claim about the absence of a stopping point, and it is what makes economics a subject at all.
- Resources are finite at a point in time. Growth changes how much there is; it does not remove the constraint, because wants move with it.
- The three questions every economy answers: what to produce, how to produce it, and for whom. Every system in Unit 2 is a different way of answering them.
- Land in economics means all natural resources, not fields. Students who keep the everyday meaning lose marks in week 2.

THE TASK: MARISOL'S FARM

Marisol farms 60 hectares. Maize grows anywhere on the farm and returns \$900 a hectare. Beans return \$1,400 a hectare but the soil suits them on only 25 hectares. She has enough labour and machinery to plant the whole farm either way.

Item	Figure
Total farm area	60 hectares
Return from maize	\$900 a hectare, any part of the farm
Return from beans	\$1,400 a hectare, on 25 hectares only
Labour and machinery	Sufficient for the whole farm

#	Question	Marks
1	Calculate the highest total return Marisol can earn from the farm.	(4)
2	Calculate the total return if she plants the whole farm with maize.	(2)
3	Calculate the opportunity cost, in beans given up, of using the 25 bean capable hectares for maize.	(2)
4	Explain why the 25 hectare limit on beans is an example of scarcity.	(4)
5	Marisol says the farm has no economic problem because all 60 hectares are used. Discuss whether she is right.	(8)

#	Answer	Working and guidance
1	\$66,500	Beans on the 25 hectares that suit them: 25 times \$1,400 is \$35,000. Maize on the remaining 35 hectares: 35 times \$900 is \$31,500. Total \$66,500. One mark for each product, one for the correct split of land, one for the total.
2	\$54,000	60 times \$900. Two marks, or one for the method with an arithmetic slip.
3	\$35,000	25 hectares times \$1,400. The opportunity cost of a resource is the value of its next best use, so for those 25 hectares it is the bean crop they could have grown instead. Do not credit the difference between two whole farm totals, which is a net loss rather than an opportunity cost, and do not credit the \$54,000 earned, which is the choice made rather than the alternative given up.
4	Bean land is scarce	She would plant more beans if she could, because beans return \$500 a hectare more, so the want exists. The suitable land is limited to 25 hectares, so the want cannot be met. A want that exceeds the resource available is scarcity, and it forces her to choose which crop takes each hectare.
5	Judgement required	Against Marisol: using every hectare only means no land is idle. The economic problem is about choosing between uses, and she still chose maize over beans on 35 hectares, giving up \$500 a hectare on land that could have grown either. For Marisol: if the land physically cannot grow beans, then on those 35 hectares there was no real alternative, so no choice and no opportunity cost on that part. The judgement turns on whether the constraint is soil or money. Soil removes the choice, so the honest answer is that scarcity is real on the 25 hectares she must ration between crops and absent on land that can only grow one thing. Reward any answer that separates full use from best use.

W1L2 · FREE GOODS AND ECONOMIC GOODS

SYLLABUS 1.1.2

Objective. Distinguish free goods from economic goods, and explain why almost nothing is free once it must be supplied.

The hour: review and recap (10 minutes), teaching (20), the task below worked and marked (25), objective checked against evidence (5).

- A free good has no opportunity cost because it is not scarce. An economic good is scarce, so supplying it means giving something up.
- The test is not the price paid. A hospital appointment paid for by the state is an economic good: doctors and buildings were used and could have been used elsewhere.
- Very few genuine free goods exist. Air in an open field qualifies; bottled air does not, and neither does clean air in a city where it must be protected at a cost.
- The same physical thing can be free in one place and economic in another. Water in a river beside a village and water piped to a desert city are the same molecule and different goods.
- This lesson is where the phrase "there is no such thing as a free lunch" stops being a slogan and becomes a definition to apply.

THE TASK: WATER FOR CALDERA

Caldera is a coastal town with no river. Rain water is collected free from rooftops. A desalination plant supplies the rest, running every day of the year.

Item	Figure
Town water demand	5,200 cubic metres a day
Rooftop rain water collected	1,200 cubic metres a day
Desalination plant output	4,000 cubic metres a day
Plant operating cost	\$0.85 a cubic metre

Item	Figure
Sea water at the shoreline	Unlimited

#	Question	Marks
1	Calculate the daily operating cost of the desalination plant.	(2)
2	Calculate the annual operating cost, using a 365 day year.	(2)
3	Explain why sea water at the shoreline is a free good but desalinated water is an economic good.	(4)
4	Rooftop rain water costs the town nothing to collect once the tanks are built. Explain whether it is a free good.	(4)
5	Discuss whether the town should describe its water as free to residents who pay no water charge.	(8)

#	Answer	Working and guidance
1	\$3,400	4,000 times \$0.85.
2	\$1,241,000	\$3,400 times 365. Accept \$1.241 million.
3	Scarcity is the test	Sea water at the shoreline is available in unlimited quantity at that point, so taking a bucket of it prevents nobody else from taking one and nothing is given up. Desalinated water uses energy, plant capacity and labour, all of which had other uses, so producing it has an opportunity cost of \$0.85 a cubic metre in resources. Scarcity, not wetness, makes the difference.
4	Not free	The tanks used materials and labour that could have built something else, so the collection system had an opportunity cost even though the rain did not. The water is also limited to 1,200 cubic metres a day, which is less than the town wants, so it has to be shared out. Something limited and costly to capture is an economic good regardless of the price charged.
5	Judgement required	For calling it free: residents pay no direct charge, so at the point of use the decision to turn a tap on costs the household nothing, and describing it as free is honest about their own budget. Against: the town spends \$1,241,000 a year producing it, which is met from taxation and could have funded schools or roads, so the cost exists and is simply paid by a different route. Calling it free also removes any reason to use less of it, which matters when supply is capped at 5,200 cubic metres. A supported judgement notes that free at the point of use and free of opportunity cost are different claims, and only the first is true here.

THE PRACTICE HOUR, WEEK 1

FROM THE UNIT 1 QUESTION BANK

The third hour of every week runs on the unit question bank. This is the week 1 extract; the full bank carries twelve questions per unit.

#	Question	Answer
1	Define scarcity.	A situation where the resource available is not enough to satisfy every use that exists for it.
2	A farmer has 40 hectares. Maize returns \$700 a hectare and beans \$1,100 a hectare, but beans grow on only 15 hectares. Calculate the highest total return.	15 times \$1,100 is \$16,500, plus 25 times \$700 is \$17,500. Total \$34,000.
3	Using the same farm, calculate the opportunity cost, in beans given up, of planting the 15 bean capable hectares with maize.	The beans forgone are 15 times \$1,100, which is \$16,500. That is the value of the next best use of those hectares. It is not \$34,000 minus \$28,000, which is a net loss rather than an opportunity cost.
4	Name the four factors of production and the reward each earns.	Land earns rent, labour earns wages, capital earns interest, enterprise earns profit.

#	Question	Answer
5	A business pays \$3,600 rent, \$14,400 wages, \$900 interest and the owner keeps \$5,100. Calculate the percentage of the total earned by enterprise.	Total is \$24,000. \$5,100 divided by \$24,000 is 21.25%.
6	Explain why money is not capital.	Capital is a man made good used to produce other goods and services. Money is a claim on resources that produces nothing until it is exchanged for a productive good, so money buys capital rather than being it.

RETRIEVAL STARTER, WEEK 1

PROJECT, THREE MINUTES, ANSWERS AFTER

One set runs in the practice hour at the end of each week: five questions, three minutes, answers straight after. Every set covers the two lessons just taught, and from the third week onward at least one question reaches back to earlier teaching, because memory is built by the return visit and not by the first one. No set asks for content taught later.

WEEK 1

#	Question	Answer
1	What is the economic problem?	Resources are finite while wants are unlimited, so choices have to be made.
2	Define scarcity.	A situation where there is not enough of a resource to satisfy every use it has.
3	What is the difference between a free good and an economic good?	A free good has no opportunity cost because it is not scarce; an economic good is scarce, so producing it means giving something up.
4	Give one example of a free good.	Air in an open field, or sunlight. Accept any good in unlimited supply at the point of use.
5	Why does every choice have a cost even when nothing is paid?	Because the resource used could have done something else, and that alternative is given up.

THE REST OF THE YEAR

This is week 1 of 30. The full product contains every week of the year built to this standard: 60 taught lessons, six assessed units with mark schemes, six question banks, all 30 retrieval starters, and the editable Word and PowerPoint files. It is sold with a 14 day money back guarantee.

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